Transformational Epicenter

Senior Secured Bridge Loan: Term Sheet and Loan Agreement Outline

Status: DRAFT FOR ATTORNEY REVIEW **Prepared:** 2026-04-13 **Confidential:** Subject to NDA

> *This document is a preliminary working draft prepared to frame commercial terms for negotiation. It is not an offer, a commitment, or legal advice. Final documentation must be prepared and reviewed by qualified counsel in the United States and Mexico before execution or circulation to a counterparty. Economic terms below are fixed inputs. Structural, legal, and enforcement language is intended as a drafting scaffold only.*

PART I: LOAN TERM SHEET

1. Parties

Role	Party
Borrower	Existing Mexican Real Estate Trust (Fideicomiso) currently holding title to the Property, via assignment of the fideicomisario beneficial interest to the sponsor at closing. Title remains with the existing Fideicomiso; only the beneficial interest transfers.
Fiduciary Institution	Existing Mexican bank trustee (Fiduciario) holding the Fideicomiso of record
Incoming Fideicomisario (Beneficiary)	Sponsor operating entity acquiring the beneficial interest at closing
Lender	[Lender Vehicle TBD]
Collateral Agent	[To be appointed by Lender]

2. Loan Amount

USD $10,000,000 (Ten Million United States Dollars), funded in a single drawdown at closing.

3. Interest Rate

9.00% per annum, simple interest, calculated on a 30/360 day basis on the outstanding principal balance.

4. Term

36 months from the Closing Date (the "Maturity Date"). No automatic extension. Extension by mutual written agreement only, subject to renegotiation of economic terms.

5. Payment Schedule

Payment Type	Frequency	Amount
Interest	Quarterly in arrears	USD $225,000 per quarter

Principal	Bullet at Maturity	USD $10,000,000
Total Interest Over Term	—	USD $2,700,000
Total Cash to Lender	—	USD $12,700,000

First interest payment due ninety (90) days after the Closing Date. Subsequent payments due every ninety (90) days thereafter.

6. Prepayment

Voluntary prepayment permitted in whole or in part at any time, subject to the following:

Within the first 6 months: Any prepayment triggers a makewhole payment equal to the interest that would have accrued through the end of month 6 had the Loan remained outstanding. This guarantees Lender a minimum of USD $450,000 in interest regardless of early prepayment.

After month 6: Prepayment is permitted at par, without penalty, premium, or makewhole.

Notice: Thirty (30) days' prior written notice to Lender of any prepayment, or such shorter notice as the parties mutually agree.

Application: Partial prepayments shall be applied first to accrued but unpaid interest, then to principal. Interest accrues only through the date of prepayment.

7. Use of Proceeds

Proceeds shall be applied exclusively as follows:

Line Item	Allocation
Acquisition of the Property (Calle Perico Lts 79-80, Av Las Palmas, Akumal, Tulum, Q.R. 77776)	USD $8,000,000
Closing costs (legal, notarial, title, fideicomiso assignment, lien recording, transaction expenses)	**USD $480,000**
Launch capital (operational buildout, repositioning, and working capital at the Transformational Epicenter)	USD $1,520,000
Total	**USD $10,000,000**

Closing costs are budgeted at USD $480,000 and cover all legal, notarial, title, fideicomiso assignment, lien recording, and transaction expenses on both the US and Mexican sides. The $1,520,000 launch capital line is the residual after acquisition and closing costs.

No proceeds may be distributed to equity holders, affiliates, or used to repay subordinated debt without Lender consent.

8. Collateral and Security

Primary Collateral:

- First-priority lien on the Mexican real estate trust (fideicomiso) holding fee simple title to the Property, including all improvements, fixtures, and appurtenant rights.

Additional Security:

- Pledge of beneficial rights under the Fideicomiso (fideicomisario beneficial interest)
- Assignment of all insurance policies and proceeds relating to the Property
- Assignment of material construction contracts, architectural plans, and permits
- Control agreement over all operating accounts holding Project cash flows

Market Value: USD $11,900,000 (based on current public listing of the Property as "Rancho Paraiso Oasis" on Christie's International Real Estate, listing ID 047661).

Construction Capital Deployed: Over USD $25,000,000 of prior-owner capital deployed into land, improvements, and infrastructure (9 lots, 45,000 sqm, main house, guest house, spa, gym, cenote pool, cavern lounge, walls, staff infrastructure). Retained as replacement-cost reference, not as collateral value.

Loan-to-Value Ratio: 84% (against market value).

9. Representations and Warranties

Customary representations of a senior secured real estate bridge loan, including without limitation:

- Due organization, good standing, power and authority
- No conflict with organizational documents, material contracts, or applicable law
- No pending or threatened litigation material to Borrower or the Property
- Valid and enforceable title to the Property through the fideicomiso
- No undisclosed liens, encumbrances, or competing claims
- Full disclosure of material environmental, permitting, and regulatory matters
- Compliance with all Mexican tax, land use, and foreign investment regulations
- No bankruptcy, insolvency, or dissolution events pending

10. Affirmative Covenants

Borrower shall, at a minimum:

- Maintain existence, permits, and licenses required for the Property
- Deliver quarterly financial statements and semi-annual project reports
- Maintain property insurance at full replacement value, naming Lender as loss payee
- Pay all taxes, assessments, and trust fees when due
- Preserve the Property in good condition and continue approved development work
- Provide Lender with site inspection rights on reasonable notice
- Notify Lender promptly of any Event of Default or material adverse development

11. Negative Covenants

Without Lender's prior written consent, Borrower shall not:

- Incur additional indebtedness ranking pari passu or senior to the Loan
- Grant liens on the Collateral other than Permitted Liens
- Sell, transfer, or further encumber the Property or any material portion
- Make distributions to equity holders or affiliates
- Enter into material contracts outside the ordinary course of business
- Change the use of the Property or the scope of the Project
- Dissolve, merge, or undergo a change of control

12. Events of Default

The occurrence of any of the following shall constitute an Event of Default:

1. **Payment default:** Failure to pay interest within five (5) business days of due date, or principal on the Maturity Date
2. **Covenant breach:** Breach of any affirmative or negative covenant, uncured for thirty (30) days after notice
3. **Representation default:** Any representation or warranty proves materially false when made
4. **Cross-default:** Default on any other indebtedness of Borrower in excess of $250,000
5. **Insolvency:** Bankruptcy, receivership, assignment for the benefit of creditors, or similar event
6. **Lien impairment:** Any challenge to or impairment of Lender's first-priority lien
7. **Material adverse change:** A material adverse change in Borrower's ability to perform, as reasonably determined by Lender
8. **Judgment default:** Unsatisfied judgment in excess of $500,000 outstanding for more than thirty (30) days
9. **Permit revocation:** Revocation or suspension of any material permit required for the Project
10. **Abandonment:** Cessation of development work for more than sixty (60) consecutive days

13. Remedies Upon Default

Upon any Event of Default, Lender shall have the right, in its sole discretion, to:

- **Accelerate** all outstanding principal and accrued interest, immediately due and payable
- **Foreclose** on the Collateral through the fideicomiso enforcement mechanism under Mexican law
- **Step in** and assume operational control of the Project, including replacement of management
- **Appoint a receiver** over the Property and operating accounts
- **Exercise** all rights under the pledged fideicomisario beneficial interest, including substitution of the beneficiary
- **Set off** any amounts held in controlled accounts against outstanding obligations
- **Pursue** any other remedies available at law or in equity

Default interest shall accrue at the Interest Rate plus 4.00% per annum from the date of the Event of Default.

14. Cross-Border Enforcement

Governing Law: New York law governs the Loan Agreement, the Note, and all ancillary US-law documents. Mexican law governs the fideicomiso, the lien recording, and Mexican enforcement proceedings.

Jurisdiction: Non-exclusive submission to New York State and US Federal courts for the Loan Agreement. Exclusive jurisdiction of Mexican courts for fideicomiso enforcement.

Waiver of Sovereign Immunity: Borrower waives any claim of sovereign immunity.

Foreign Judgment Recognition: Borrower agrees that US judgments shall be recognized and enforceable in Mexico under applicable treaty and comity principles.

15. Conditions Precedent to Closing

- Satisfactory completion of legal, title, environmental, and regulatory due diligence
- Execution of definitive Loan Agreement and all security documents
- Recording of the first-priority lien on the fideicomiso with the Mexican Public Registry
- Delivery of title insurance acceptable to Lender
- Delivery of opinions of US and Mexican counsel
- Delivery of executed guarantees (if any)
- Completion of KYC, AML, and sanctions screening on Borrower and affiliates
- Payment of Lender's legal and transaction costs

- No material adverse change between signing and closing

16. Fees and Expenses

- **Commitment Fee:** None
- **Legal and Diligence Costs:** Borrower bears all reasonable and documented legal, title, diligence, and recording costs incurred by Lender
- **Exit Fee:** None

17. Confidentiality

Both parties agree to maintain the confidentiality of this term sheet and all related negotiations, except as required by law, counsel, or bona fide prospective co-lenders under customary NDA protection.

18. Exclusivity

Upon execution of this term sheet, Borrower agrees to a forty-five (45) day exclusivity period during which Borrower will not solicit, negotiate, or accept competing financing proposals for the Property. The 45-day window is sized to cover the targeted 30-day close with a cushion for final closing mechanics.

19. Binding Effect

This term sheet is **non-binding** other than Sections 16 (Fees and Expenses), 17 (Confidentiality), and 18 (Exclusivity), which are binding upon execution. Definitive documentation supersedes this term sheet in all other respects.

PART II: LOAN AGREEMENT OUTLINE

The definitive Loan Agreement shall be prepared by Lender's counsel and should contain, at a minimum, the following sections. This outline is intended as a drafting guide for counsel, not as finished documentation.

Article I. Definitions and Interpretation

1.01 Defined Terms 1.02 Accounting Terms 1.03 References and Construction

Article II. The Loan

2.01 Commitment and Funding 2.02 The Note 2.03 Use of Proceeds 2.04 Interest Rate and Computation 2.05 Payment Schedule 2.06 Prepayment Rights and Restrictions 2.07 Default Interest 2.08 Maximum Lawful Rate

Article III. Conditions Precedent

3.01 Conditions to Closing 3.02 Due Diligence Completion 3.03 Legal Opinions (US and Mexico) 3.04 Title and Lien Recording 3.05 KYC/AML Clearance

Article IV. Representations and Warranties

4.01 Corporate Existence and Authority 4.02 Enforceability 4.03 No Conflicts 4.04 Title to the Property 4.05 Fideicomiso Standing 4.06 Litigation 4.07 Taxes 4.08 Environmental Compliance 4.09 Permits and Regulatory Compliance 4.10 Insurance 4.11 Full Disclosure 4.12 Anti-Corruption and Sanctions (FCPA, OFAC) 4.13 Solvency

Article V. Affirmative Covenants

5.01 Preservation of Existence 5.02 Reporting Requirements (Quarterly Financials, Annual Audit, Project Updates) 5.03 Insurance Maintenance 5.04 Tax Payment 5.05 Property Maintenance 5.06 Inspection Rights 5.07 Compliance with Laws 5.08 Further Assurances 5.09 Notice of Default or Material Events

Article VI. Negative Covenants

6.01 Additional Debt 6.02 Liens and Encumbrances 6.03 Asset Dispositions 6.04 Distributions and Restricted Payments 6.05 Affiliate Transactions 6.06 Change of Use 6.07 Change of Control 6.08 Mergers and Dissolution 6.09 Amendments to Organizational Documents 6.10 Modification of Fideicomiso

Article VII. Security

7.01 Grant of Security Interest 7.02 Fideicomiso Lien Perfection (Mexican law) 7.03 Fideicomiso Beneficial Interest Pledge (Mexican law) 7.04 Insurance Assignment 7.05 Account Control Agreement 7.06 Collateral Maintenance 7.07 Further Assurances Regarding Collateral

Article VIII. Events of Default and Remedies

8.01 Events of Default (enumerated) 8.02 Acceleration 8.03 Foreclosure Rights (Mexican fideicomiso procedure) 8.04 Step-In Rights 8.05 Receivership 8.06 Cumulative Remedies 8.07 Default Interest 8.08 Waiver of Cure Rights

Article IX. Cross-Border Enforcement

9.01 Governing Law 9.02 Submission to Jurisdiction 9.03 Service of Process 9.04 Waiver of Jury Trial 9.05 Waiver of Sovereign Immunity 9.06 Recognition of Foreign Judgments 9.07 Currency Indemnity 9.08 Mexican Tax Gross-Up

Article X. Miscellaneous

10.01 Notices 10.02 Amendments and Waivers 10.03 Assignment and Participation 10.04 Confidentiality 10.05 Indemnification 10.06 Expenses 10.07 Severability 10.08 Entire Agreement 10.09 Counterparts and Electronic Signatures

Exhibits and Schedules

- Exhibit A: Form of Promissory Note
- Exhibit B: Form of Fideicomiso Amendment and Lien Grant
- Exhibit C: Form of Equity Pledge Agreement
- Exhibit D: Form of Account Control Agreement
- Exhibit E: Legal Opinions (US and Mexico)
- Schedule 1: Property Description and Title Chain
- Schedule 2: Existing Permits and Regulatory Status
- Schedule 3: Disclosure Schedule (Reps and Warranties Exceptions)
- Schedule 4: Insurance Requirements
- Schedule 5: Permitted Liens

PART III: KEY LEGAL CONSIDERATIONS CHECKLIST

The following items require specific attention from Mexican and US counsel before definitive documentation is finalized:

Mexican Real Estate Trust (Fideicomiso)

- ☐ Confirm fideicomiso is correctly structured to permit first-priority lien to foreign lender
- ☐ Verify fiduciary institution is authorized and willing to register the lien
- ☐ Confirm fideicomiso term extends beyond Loan Maturity Date
- ☐ Address any restrictions under the Foreign Investment Law (Ley de Inversion Extranjera)

Foreclosure and Enforcement

- ☐ Map exact Mexican foreclosure timeline (judicial vs. out-of-court)
- ☐ Confirm enforceability of step-in rights under Mexican law
- ☐ Address potential stays under Mexican bankruptcy (Concurso Mercantil)
- ☐ Structure appointment of substitute fideicomisario on default

Tax and Withholding

- ☐ Mexican withholding tax on interest payments to foreign lender (typically 4.9% to 35%, depending on treaty and structure)
- ☐ Gross-up provision to preserve Lender's net yield
- ☐ Transfer pricing and deduction considerations
- ☐ US tax treatment of Mexican-source interest income

Sanctions and Anti-Corruption

- ☐ OFAC screening on all parties and beneficial owners
- ☐ FCPA compliance review
- ☐ Mexican anti-money laundering compliance (LFPIORPI)
- ☐ Beneficial ownership disclosure under applicable transparency rules

Insurance

- ☐ Property insurance at full replacement cost
- ☐ Business interruption coverage appropriate to development stage
- ☐ Lender named as loss payee and additional insured
- ☐ Political risk insurance consideration for cross-border exposure

Environmental

- ☐ Phase I environmental assessment
- ☐ Confirmation of compliance with SEMARNAT and federal environmental permits
- ☐ Coastal zone regulations (ZOFEMAT) if applicable
- ☐ Cenote and groundwater protection compliance

PART IV: COMMERCIAL SUMMARY (One-Page Pitch)

Transformational Epicenter: Senior Secured Bridge Loan

$10M at 9% for 36 months. Interest-only, quarterly. Bullet at maturity. No commitment fee. Prepayable at any time with a 6-month makewhole (minimum interest of $450,000), then open at par. Borrower is the existing Mexican real estate trust (Fideicomiso) already holding title to the Property, via assignment of the fideicomisario beneficial interest at closing.

A senior secured bridge loan to fund the acquisition and buildout of a transformational wellness and hospitality property in Akumal, Quintana Roo, Mexico. The Property sits on 45,000 square meters across nine lots and is currently listed on Christie's International Real Estate as "Rancho Paraiso Oasis" at USD $11,900,000. Over $25 million of prior construction capital has been deployed into land, improvements, and infrastructure, embedded in the asset as a replacement-cost backstop beneath the market value.

The Structure

- **Borrower:** Existing Mexican real estate trust (Fideicomiso) already holding title to the Property. Sponsor acquires the fideicomisario beneficial interest at closing via assignment at the existing trustee bank. No new Fideicomiso formation required, no SRE permitting delay, no US or Delaware entity in the structure.
- **Collateral:** First-priority lien on the Fideicomiso's direct title to the Property, plus pledge of the fideicomisario beneficial interest, insurance assignment, and account control agreement.
- **Governing law:** Mexican law for the Fideicomiso, lien, and enforcement. Loan Agreement and Note governed by New York law for international lender comfort.

For the Lender

- $225,000 quarterly interest payments
- Full $10 million principal returned at month 36
- $12.7 million total cash out (27% gross return)
- First-priority lien on the Fideicomiso's direct title to the Property
- 84% loan-to-value against the $11.9M Christie's listing, with $25M+ of prior construction capital underneath as a replacement-cost backstop
- Senior position, step-in rights, clean Mexican enforcement pathway
- No commitment fee. Prepayable at any time with a 6-month makewhole (guaranteed minimum interest of $450,000), open at par thereafter.

For the Sponsor

- Non-dilutive capital to complete buildout
- Simple single-jurisdiction structure with no US entity coordination
- Short duration (36 months) matched to the buildout to stabilization timeline
- Clean debt structure that does not complicate future equity capital
- Takeout at maturity through refinancing or sale

Timeline: Targeting closing within **30 days** of signed LOI. Property-side due diligence is complete, title and trust structure are verified, the Property is already held in an existing Mexican real estate trust (no new formation required), counsel on both sides is engaged and ready, and the data room is populated and ready to deliver. Everything is in place for a clean, immediate close. Path-to-close detail available in the lender outreach package.

END OF DOCUMENT

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